Economics

March 18, 2026

March FOMC: In the Right Place for Now

Special Commentary

Economist(s)

 Tom Porcelli

 Sarah House

 Michael Pugliese

- **Optionality maintained.** As expected, the FOMC left the fed funds rate unchanged at 3.50%-3.75% at its March meeting and was careful not to hint at the timing of future adjustments. The statement reaffirmed the FOMC's view of "solid" growth and inflation that "remains somewhat elevated," but signaled a little less confidence in the state of the labor market by noting that the unemployment rate "has been little changed" versus previously saying it has shown "some signs of stabilization."

- **Increased uncertainty was acknowledged head on in the statement and press conference.** There is no doubt in our minds that the spike in oil prices is inflationary over the near term, but this is a supply shock, which monetary policy is ill-equipped to solve. The Fed also has to grapple with the growth-sapping effects of higher oil prices that add a fresh challenge to the already-struggling labor market (Figure 1).

- **Participants seemed hesitant to incorporate looming stagflation risks into the SEP.** The median estimate for PCE inflation at year-end rose to 2.7% from 2.4% in December, less than what we were expecting with our own estimate tracking at 2.9%. The median core projection rose to 2.7%, perhaps reflecting some pass-through of higher energy costs, but more likely, in our view, stemming from the stubborn strength of recent readings that has left the index up 3.1% over the past year (Figure 2). Meantime, the median estimate for GDP this year was revised *up* a tenth and the median unemployment rate was unchanged. While this did not signal as much of a stagflationary shock as we expected, we note that participants flagged higher uncertainty around their estimates with risks skewed more toward higher inflation and unemployment than in the December SEP.

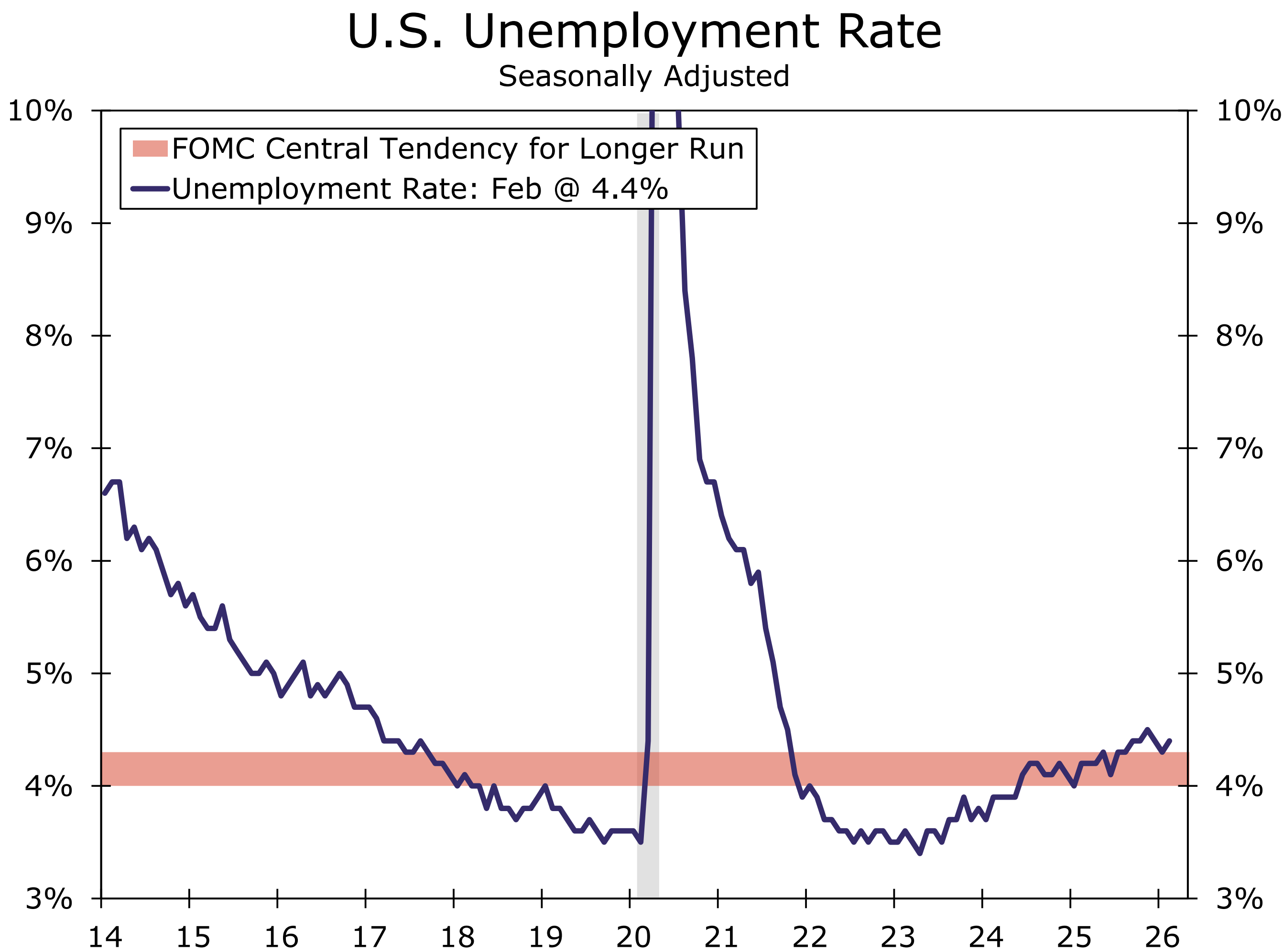
- **Wait-and-see mode kept the median view of rates this year unchanged.** The median estimate of the fed funds rate at year-end remained at 3.375%, implying one 25 bps cut in 2026, while the median dot for 2027 held at 3.125% (Figure 3). The continued bias toward easing reflects that most Fed officials still view policy as slightly restrictive, even as the median long-run estimate drifted up a tenth to 3.1%.

- **The Committee looks a little less divided.** No participants viewed a hike as appropriate this year, even as hawkish members have been voicing their concerns about inflation's prolonged overshoot from target these past five years. At the same time, Governor Waller voted in line with the Committee, making Governor Miran the lone dissenter. Yet even the lowest projection for the fed funds rate at year-end—presumably Governor Miran's—shifted up, and suggests less dispersion among members' view at present.

- **Two more cuts this year remain our base case.** We sympathize with the view that the labor market remains on a shaky footing. While the renewed inflation concerns generate risk to our call for the FOMC to cut again by June, we still look for two 25 bps cuts this year and acknowledge they just might end up coming a little later (Figure 4). The inflationary effects of higher oil prices become visible more quickly than does the damage they inflict on growth and the labor market. So long as long-term inflation expectations stay anchored, we believe the Fed could still move the fed funds rate further toward neutral in the second half of the year.

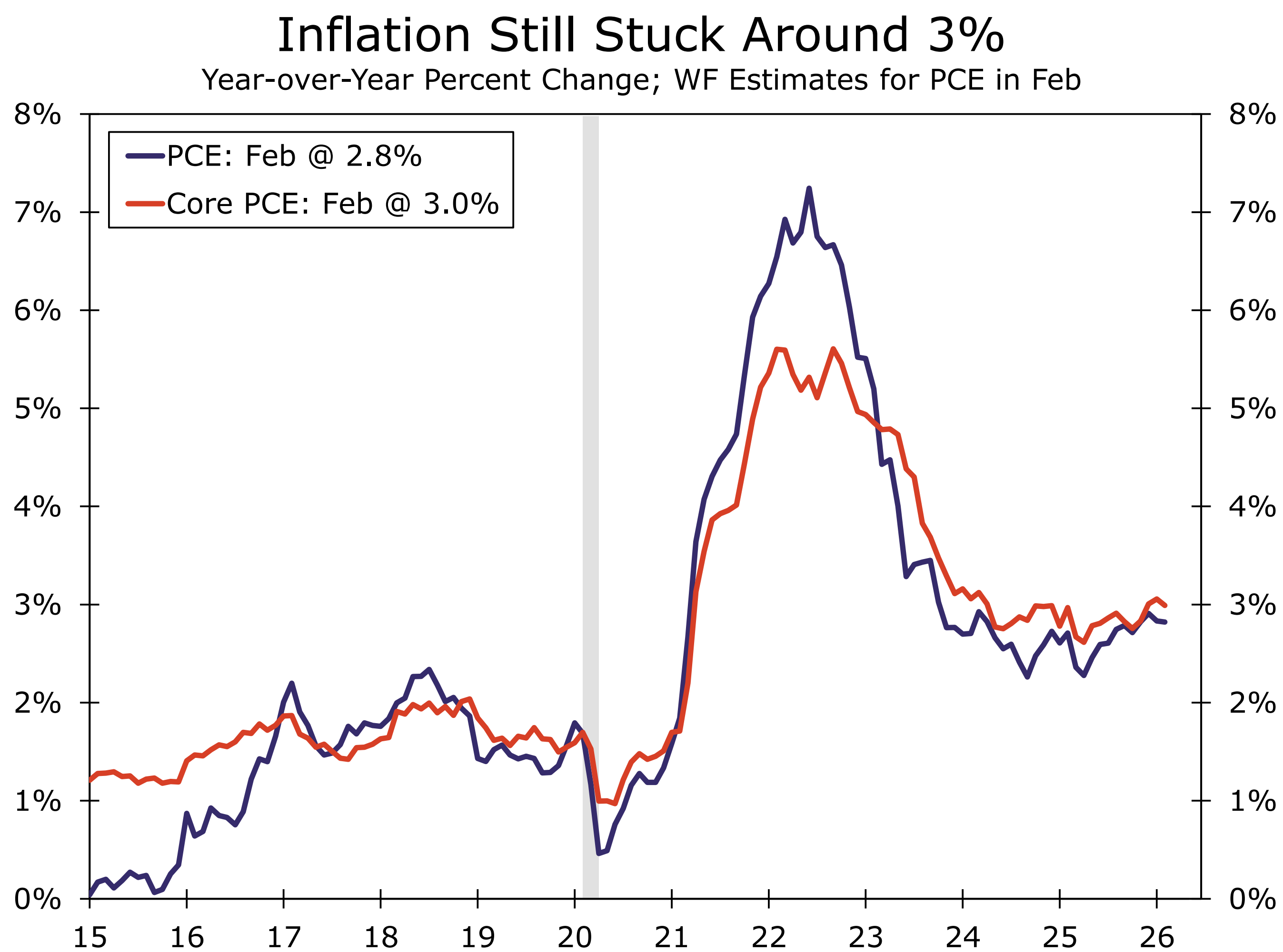
- **Reserve management purchases (RMPs) continue at their current $40B monthly pace.** The Fed did not announce plans to reduce RMPs as we were expecting. Yet given the recent reduction in funding pressures, we suspect a slowdown to around a $20-25B monthly pace has merely been delayed and is likely to be announced at the Fed's April meeting and begin mid-May.

Figure 1



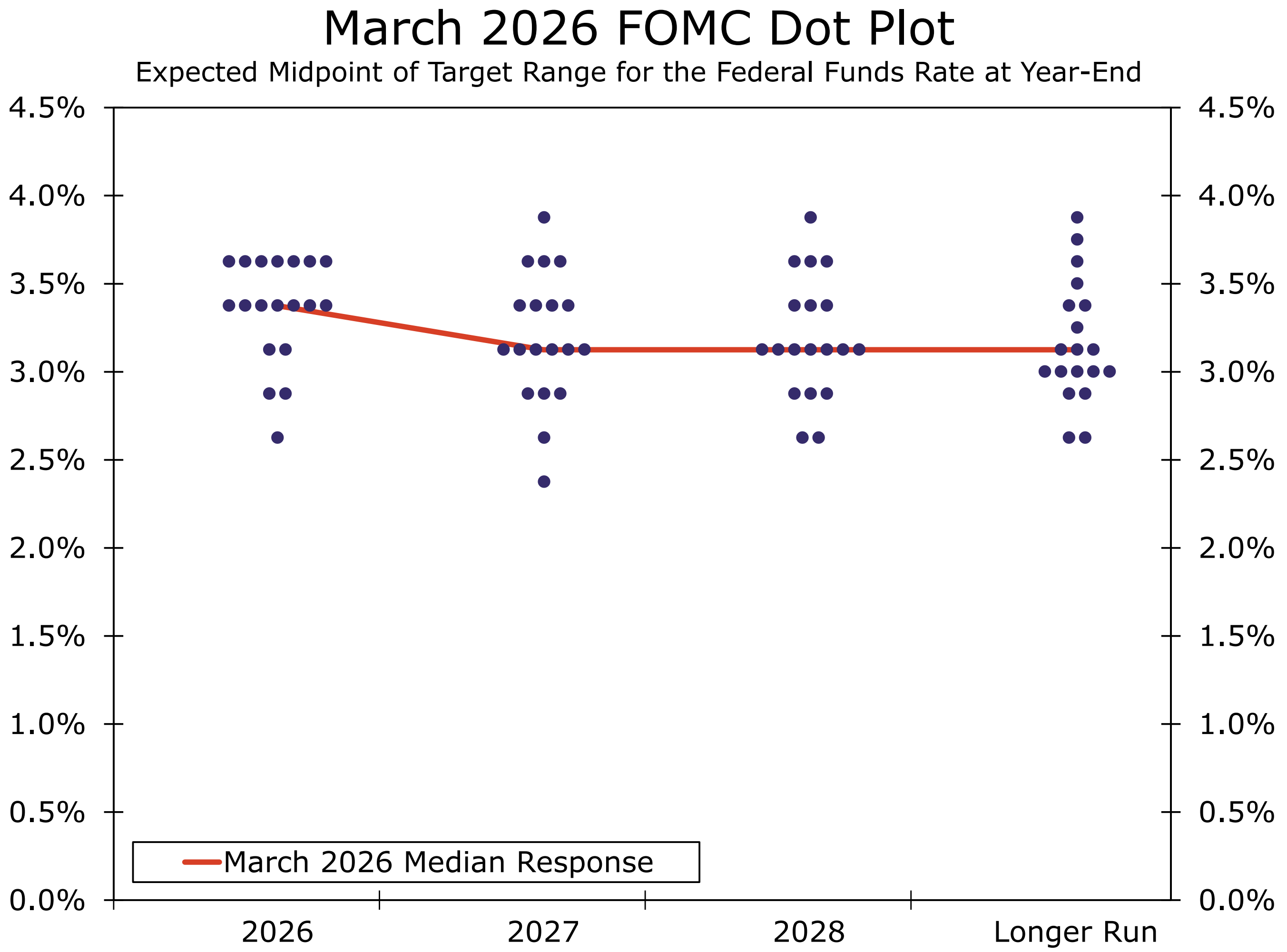
Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2



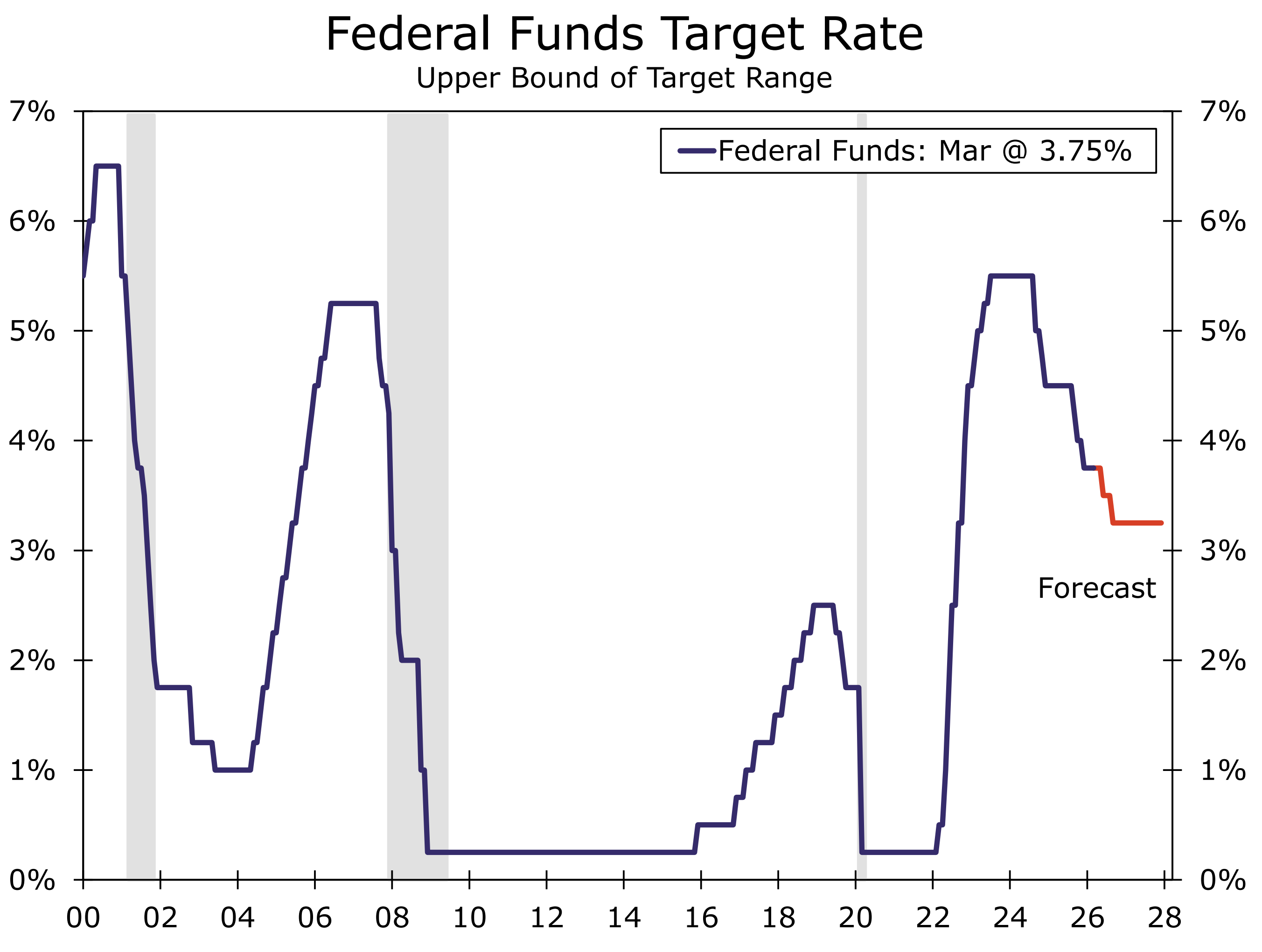
Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: Federal Reserve Board and Wells Fargo Economics

Figure 4



Source: Federal Reserve Board and Wells Fargo Economics

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Required Disclosures

Economics

March 12, 2026

FOMC Preview: Powell's Job Not Getting Any Easier

Special Commentary

Economist(s)

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- **Stagflation risks have risen since the FOMC last met in January.** Higher inflation and a weaker labor market is the FOMC's worst nightmare as it puts the dual mandate in tension. How will Chair Powell and company balance these risks?

- **We expect the FOMC to hold rates steady and maintain maximum flexibility.** It goes without saying the conflict in Iran has a highly uncertain outlook, with oil prices gyrating wildly in response to the uncertainty. Looking past the geopolitical whirlwind**,** key data from the monthly jobs report whipsawed over the inter-meeting period, with strong job gains and lower unemployment in January offset by a train wreck of a February jobs report. On net, labor market conditions appear little changed: lukewarm and still muddling along.

- **There has been no further progress toward 2% inflation over the inter-meeting period**. Recent data point to PCE inflation remaining stuck right around 3% (chart). The energy shock will strengthen headline inflation and have a small pass-through to core but also crimp economic growth.

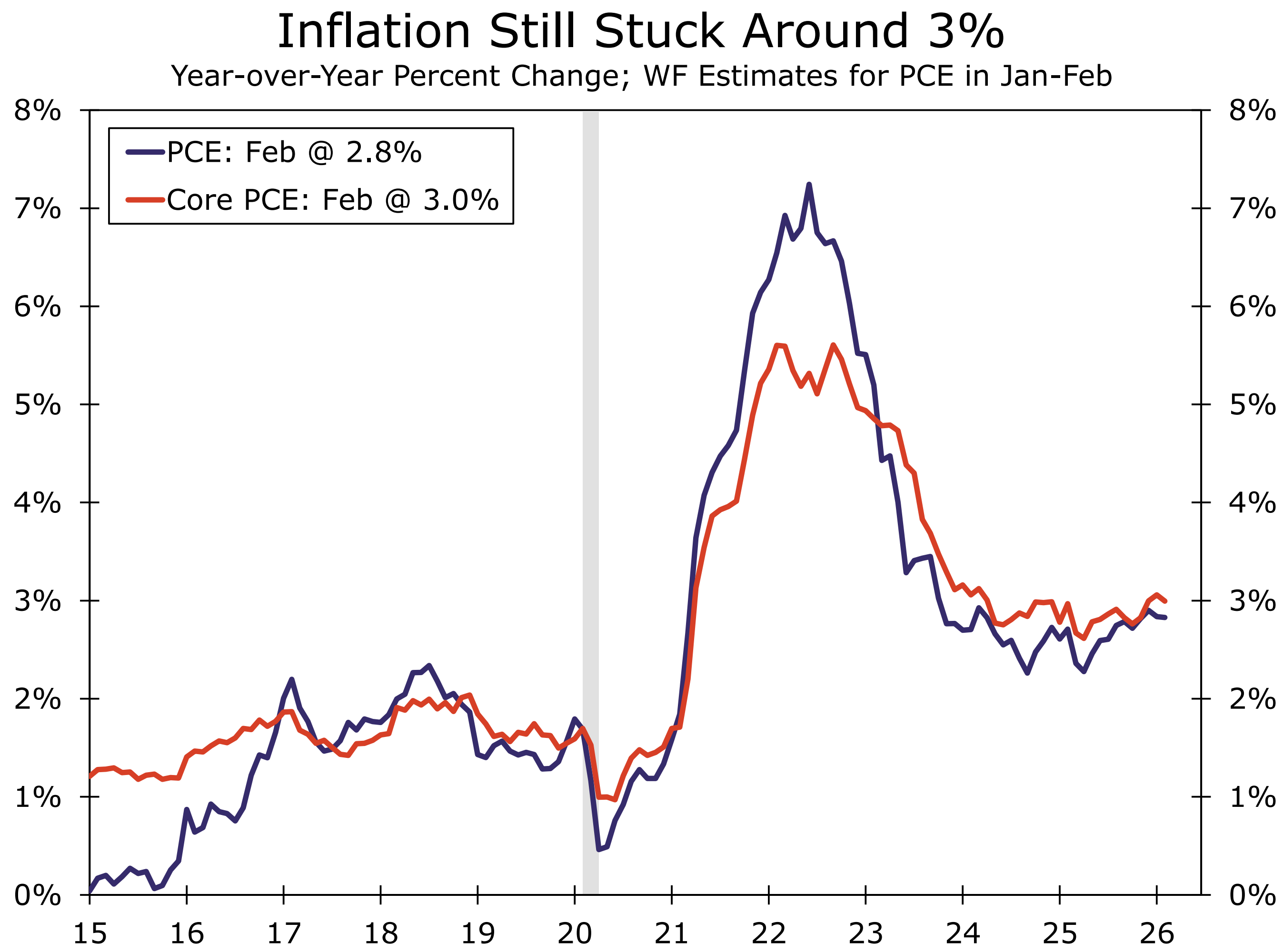
- **Fed speak has been mixed.** Governors Miran and Waller are likely unconvinced that the labor market is stabilizing and probably want to "look through" the supply-side oil shock—a view for which we have plenty of sympathy. But, with inflation entering its sixth year and counting above 2%, there are signs some of the Committee's hawks are digging in amid yet another inflationary shock.

- **The post-meeting statement probably won't change dramatically.** We expect it to highlight additional uncertainty in the outlook due to the Iran conflict. We also would not be surprised if the language around "some signs of stabilization" in unemployment is tweaked to be a bit more pessimistic.

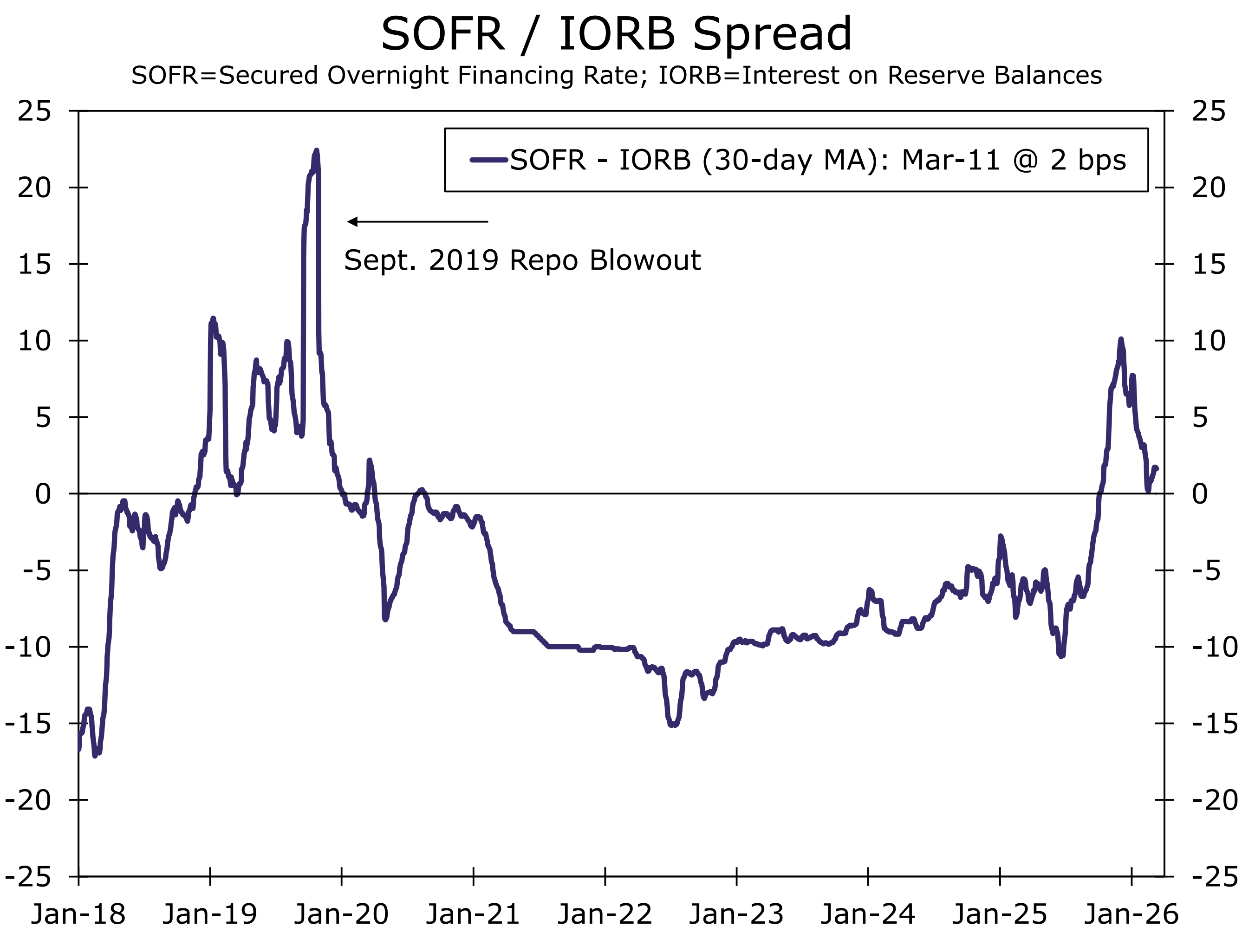
- **The SEP will shift in a stagflationary direction:** We expect the FOMC's inflation projections to be revised up, in part due to higher energy prices and in part due to recent strength in some core PCE components. The slightly stickier picture of inflation is likely to carry through to 2027 and keep the anticipated return to 2.0% two years away. GDP projections for 2026 are likely to be lower but still consistent with above-trend growth. Median estimates for the unemployment rate are likely to edge up as the low hire/low fire environment drags on. Our point estimates for the March SEP can be found in the table on the next page.

- **"First, do no harm" keeps median dots unchanged.** It would take two dots moving down to drop the 2026 median from 3.375% to 3.125% and three moving higher to shift the median projection up to 3.625%. With estimates for inflation drifting up but growth projections shifting down, we think the net impact will be no change to the median dots. From a balance of risks standpoint, our hearts lie with a downside surprise in the dots. Yet our heads think it will be very difficult for the dots to surprise in the dovish direction as inflation worries escalate, even if it is a supply shock that monetary policy is poorly equipped to solve. Our own forecast remains for two 25 bps rate cuts in June and September.

- **We expect the Fed to slow reserve management purchases to a $20-$25 billion/month pace.** This would be a slowdown from the current $40 b/mo pace and has been well-telegraphed by Fed officials. The downshift is in response to funding markets returning to a more stable equilibrium (chart). Since the Fed has been buying exclusively Treasury bills, this should not have a material impact on longer-term interest rates.



Source: U.S. Department of Commerce and Wells Fargo Economics



Source: Federal Reserve System and Wells Fargo Economics

Wells Fargo's Expectations for the SEP

Median Projection in the FOMC'S Summary of Economic Projections

		2026	2027	2028	Longer run
Change in Real GDP	*March Projection*	2.1	2.0	1.9	1.8
	December Actual	2.3	2.0	1.9	1.8
Unemployment Rate	*March Projection*	4.5	4.3	4.2	4.2
	December Actual	4.4	4.2	4.2	4.2
PCE Inflation	*March Projection*	2.9	2.2	2.0	2.0
	December Actual	2.4	2.1	2.0	2.0
Core PCE Inflation	*March Projection*	2.7	2.2	2.0	—
	December Actual	2.6	2.1	2.0	—
Federal Funds Rate	*March Projection*	3.375	3.125	3.125	3.000
	December Actual	3.375	3.125	3.125	3.000

Forecast as of: March 12, 2026

Source: Federal Reserve Board and Wells Fargo Economics

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Economics

March 12, 2026

Energy Prices & Economic Growth:
The Difference Between Now and Then

Special Commentary

Economist(s)

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 Shannon Grein

 Nicole Cervi

Between our FAQ with the team and our note on what it would take to have a serious conversation about recession, we have tossed a lot at you over the last week related to the conflict with Iran. Let us provide just a bit more context around some of the numbers we've been talking about.

The reality is the U.S. economy is less sensitive to higher energy prices than it once was. In the note we penned on recession risks we referenced our model simulations that suggest a sustained 50% rise in oil prices would reduce the average annual growth rate of real personal consumption expenditures (PCE) by around one percentage point. But consider this. **We estimate that same 50% sustained rise in prices would have had about twice the effect back in the 1980s, lopping off around two percentage points off PCE growth**. In other words, back then, talk of recession would already be gathering steam, all else equal.

The country was highly energy-sensitive then, heavily reliant on imported oil and far more exposed to sudden increases in energy costs. Higher prices translated quickly into weaker real income growth, reduced consumption and slower top-line economic activity.

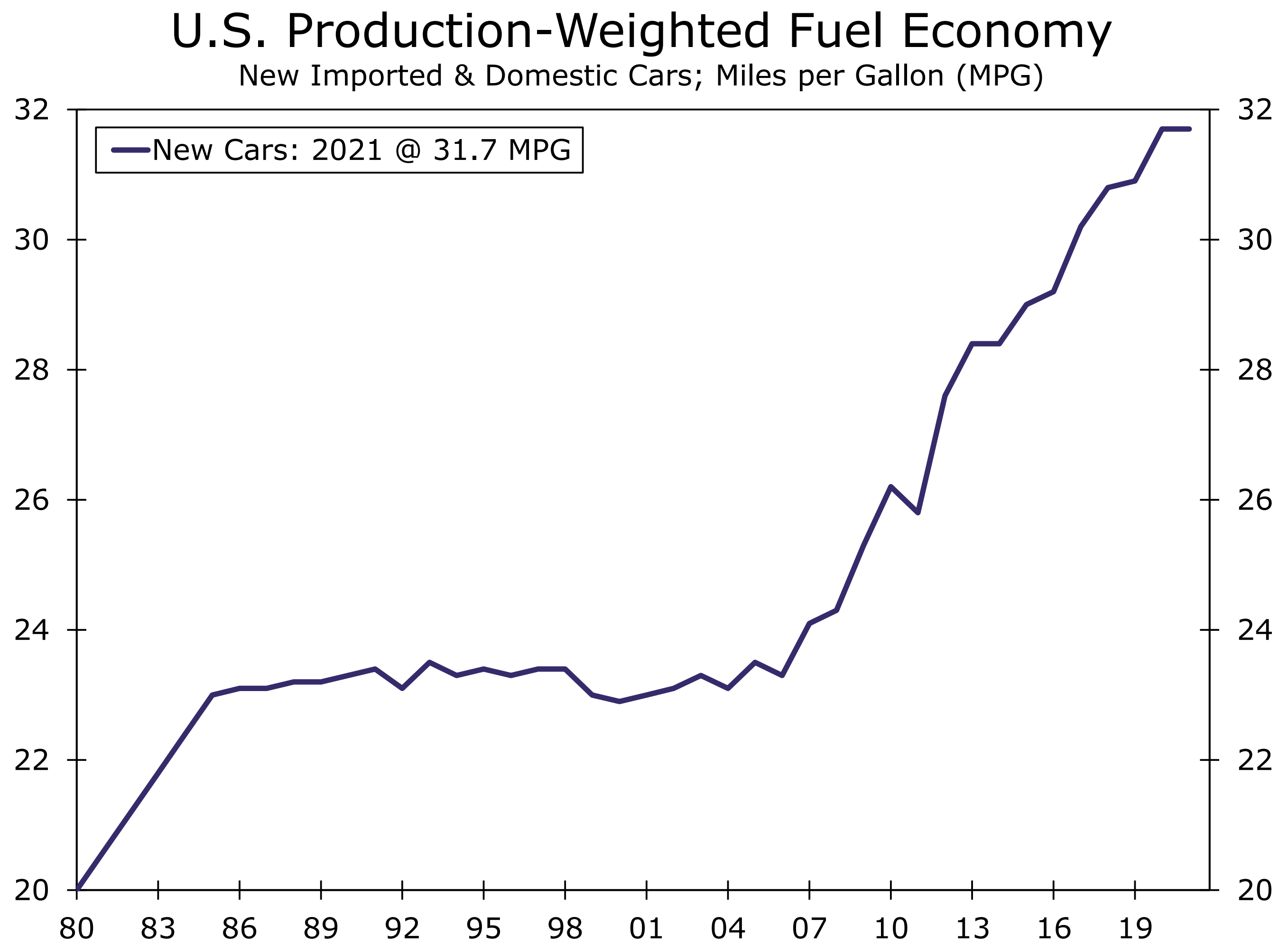
Things are different today. For starters, we are far more energy efficient. Back in the 1980s new cars averaged about 20mpg compared to today's 32mpg (Figure 1). Second, Households are earning more too; gasoline and even broader energy-related purchases make up a smaller share of household spending today then they once did (Figure 2). And third, the U.S. also produces more domestically meaning it is less reliant on foreign supply (Figure 3).

The bottom line is that improvements in energy efficiency, a smaller energy footprint (relative to output) and the broader U.S. transition from being a net energy importer to a net energy exporter have together reduced the direct drag on growth and particularly consumption from oil and gas price shocks.

That does not mean higher prices today are painless. Energy demand remains relatively inelastic in the short run, and lower-income households remain disproportionately exposed. We've marked down our real PCE growth forecast as a result of the recent move higher in prices.

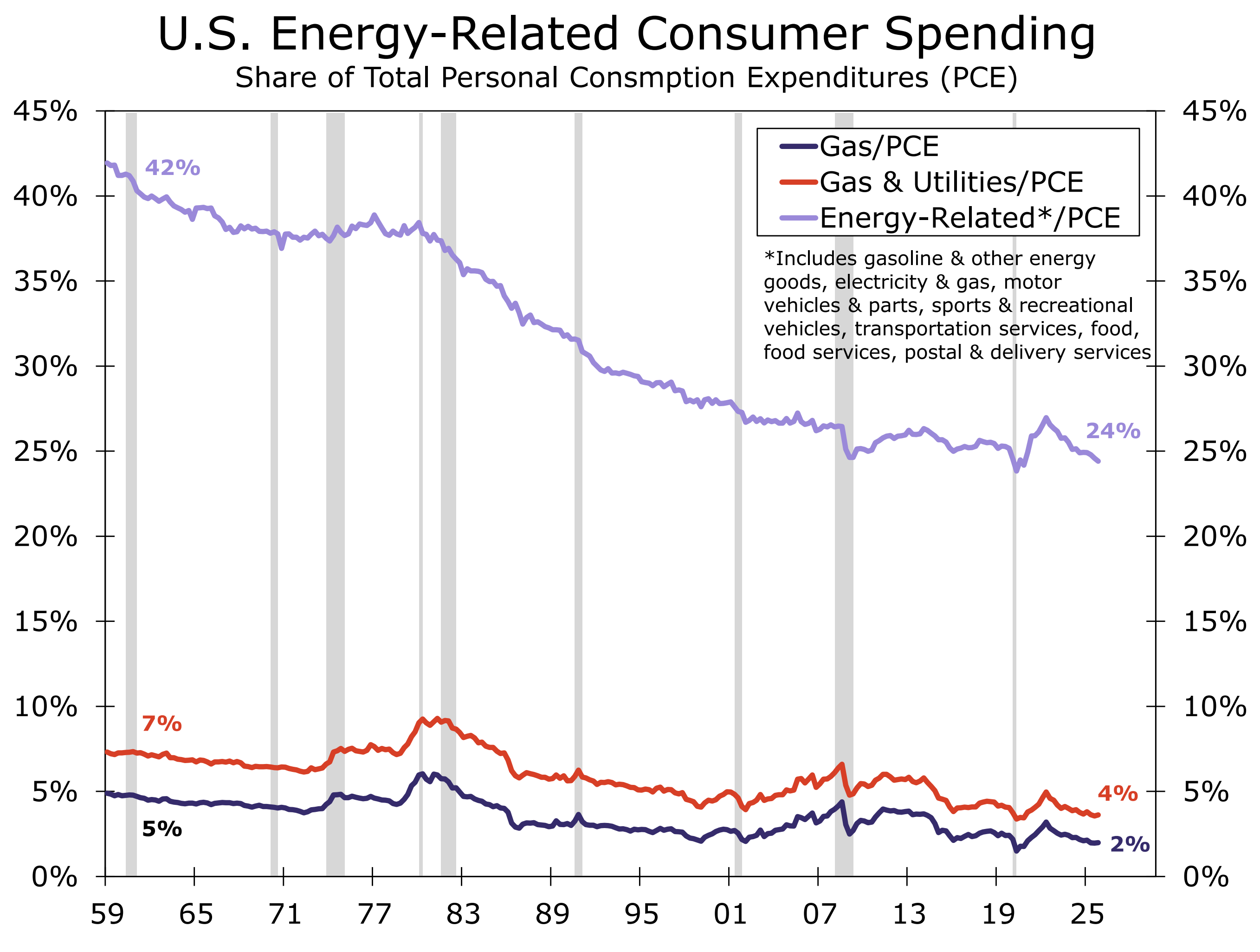
It seems prudent to again state the obvious here that this still remains an incredibly fluid situation, but at the aggregate level, the effect of higher energy prices is more likely to show up as slower consumption growth, rather than the abrupt retrenchment that characterized past oil shocks. But let's see where this goes.

Figure 1



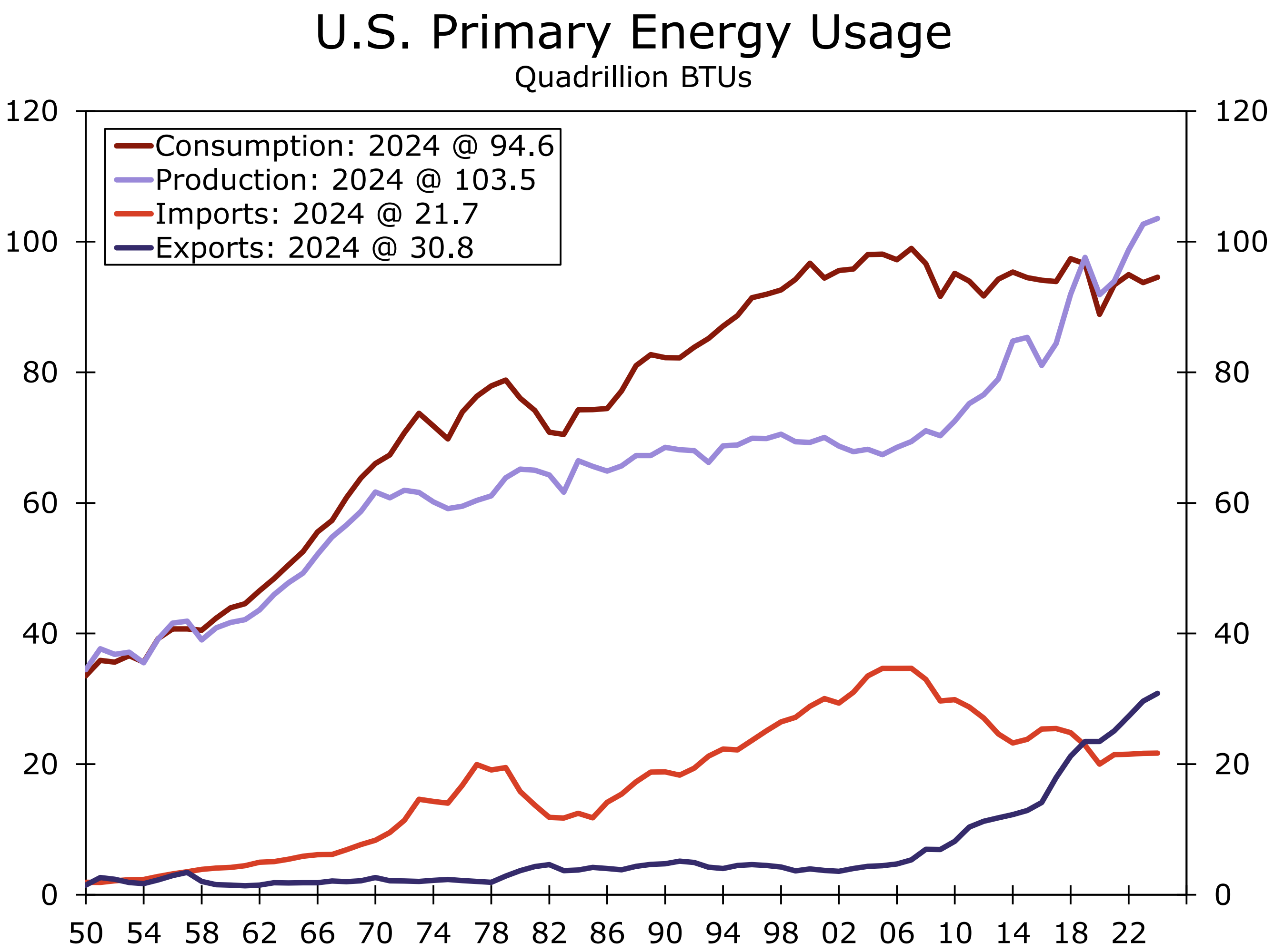
Source: U.S. Department of Transportation and Wells Fargo Economics

Figure 2



Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: Energy Information Administration and Wells Fargo Economics

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Economics

March 9, 2026

What Would It Take to Tip the Economy into Recession?

Oil Prices & Recession Risk Roadmap

Special Commentary

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- Recession is not our base case, but we believe the risk distribution has shifted decisively to the downside, as oil briefly broke above $110/barrel and remains volatile. The U.S. economy does not enter the current oil price shock from a position of robust strength. With headline inflation on its way back above 3% as soon as this month, higher oil prices add a new headwind at a moment when the U.S. economy's margin for error is narrow.
- Recessions ultimately reflect broad and persistent declines in activity. An oil price shock becomes recessionary when it turns a slowing expansion into a self-reinforcing downshift: real income falls, consumption growth slows, investment contracts, hiring weakens, and income declines further.
- Our model simulations suggest that a 50% sustained increase in oil prices would reduce annual average growth of real personal consumption expenditures (PCE) by a full percentage point—more than offsetting the expected boost to consumer spending from the One Big Beautiful Bill's household tax cut provisions.
- In an additional modeling exercise, sustained oil prices at $130/barrel, which is a ~100% increase from the pre-conflict baseline, would lead to back-to-back contractions in quarterly PCE in the middle part of this year.
- Higher oil prices tend to provide a boost to business fixed investment, primarily through increased energy-sector spending. This energy investment impulse is layered on top of a structural capex boom tied to the generative AI build-out, which has been relatively insensitive to energy costs and broader macro volatility.
- Moderate increases in oil prices tend to reallocate growth, rather than eliminate it: consumer spending slows, but investment accelerates, helping to stabilize aggregate demand. However, this offset is neither full, nor immediate.
- As a net energy exporter, the U.S. economy can better weather higher oil prices than many other countries, but sustained prices north of $130/barrel would materially raise the risk of recession.

The Economy Is Vulnerable to an Oil Shock Right Now

With intraday oil prices nearly hitting $120/barrel over the past day (and then receding almost as fast), we know some folks are wondering about potential downside economic risks. So let's talk about it. To be clear, it seems very premature to notably alter recession odds at this juncture (given the volatility of oil prices mentioned a moment ago, that seems practical). But that shouldn't stop us from talking about risks associated with big upswings in oil (Figure 1) and providing a roadmap of sorts.

The reality is the U.S. economy does not enter the current oil shock from a position of robust strength. Payroll growth remains soft at best, the unemployment rate is modestly above most estimates of full employment, and real income growth was already under pressure before energy prices moved higher. With headline inflation on its way back above 3% as soon as this month, higher oil prices add a new headwind at a moment when the margin for error is narrow.

As we flagged in our FAQ last week, the longer prices stay elevated, the greater the downside economic hit becomes. Stated differently, the left tail grows fatter the longer prices rise and stay elevated. So from our lens, **the relevant question for markets is no longer whether higher oil prices are "bad for U.S. growth," but what conditions would be required for an oil shock to push a fragile expansion into outright recession?**

Recessions ultimately reflect broad and persistent declines in activity. An oil shock becomes recessionary when it turns a slowing expansion into a self-reinforcing downshift: real income falls, consumption growth slows, investment contracts, hiring weakens, and income declines further.

The Three Conditions that Typically Turn an Oil Spike into a Recession

1) The jump in oil prices is high enough to force real income to contract

- **A sustained rise in energy prices mechanically weakens real income growth**, especially when wage growth is already slowing and hiring is soft, as it happens to be right now.

2) The shock persists long enough to spread beyond energy

- One-off spikes hit sentiment and headline inflation, but recessions usually require months of pressure that force households to change behavior and businesses to revise staffing and capex plans. Put differently: **the economy can "absorb" a spike; it struggles with a new, sustained higher plateau**.

3) Spillovers tighten broader financial conditions

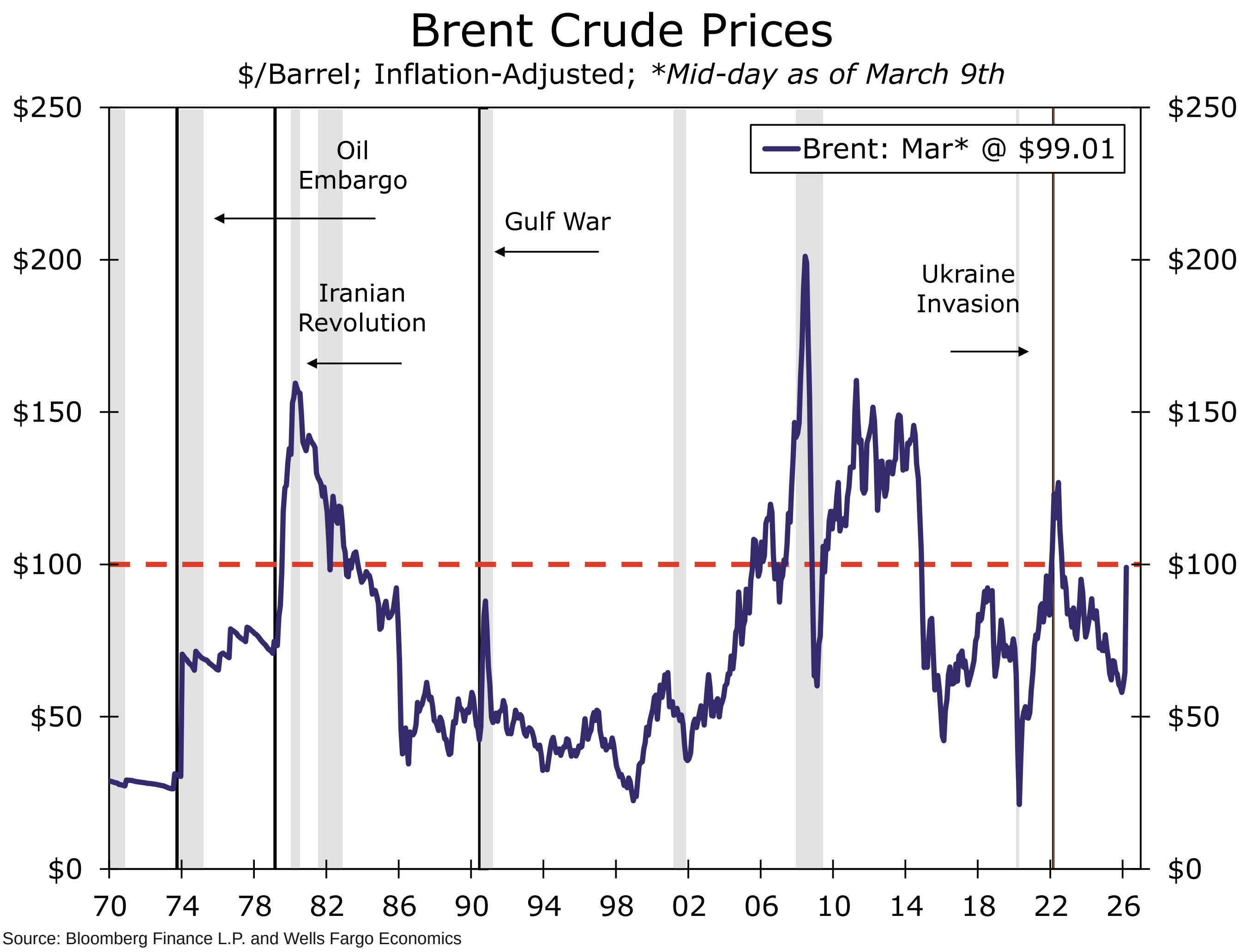
- **The most dangerous pathway is not just the direct energy price spike—it's the second-order effect**: higher inflation expectations, weaker sentiment, and tighter financial conditions that make investment harder and ding household consumption, particularly for the higher income cohorts currently driving spending growth. Market concerns about growth have the potential to become self-fulfilling by choking off the confidence/wealth channel and turn what has already felt like a recessionary environment for many Americans into an actual recession.

Modeling the Consumer Impact: Some Wiggle Room, but Not Limitless

Most households devote a relatively small share (less than 3%) of their budgets directly to gasoline and other energy goods, but these are expenditures that are difficult to curtail when prices rise. As seen in Figure 2, **our model simulations suggest that a 50% sustained increase in oil prices would reduce the annual average pace of real personal consumption expenditures (PCE) by a full percentage point**—more than offsetting the expected boost to consumer spending from the One Big Beautiful Bill's household tax cut provisions.

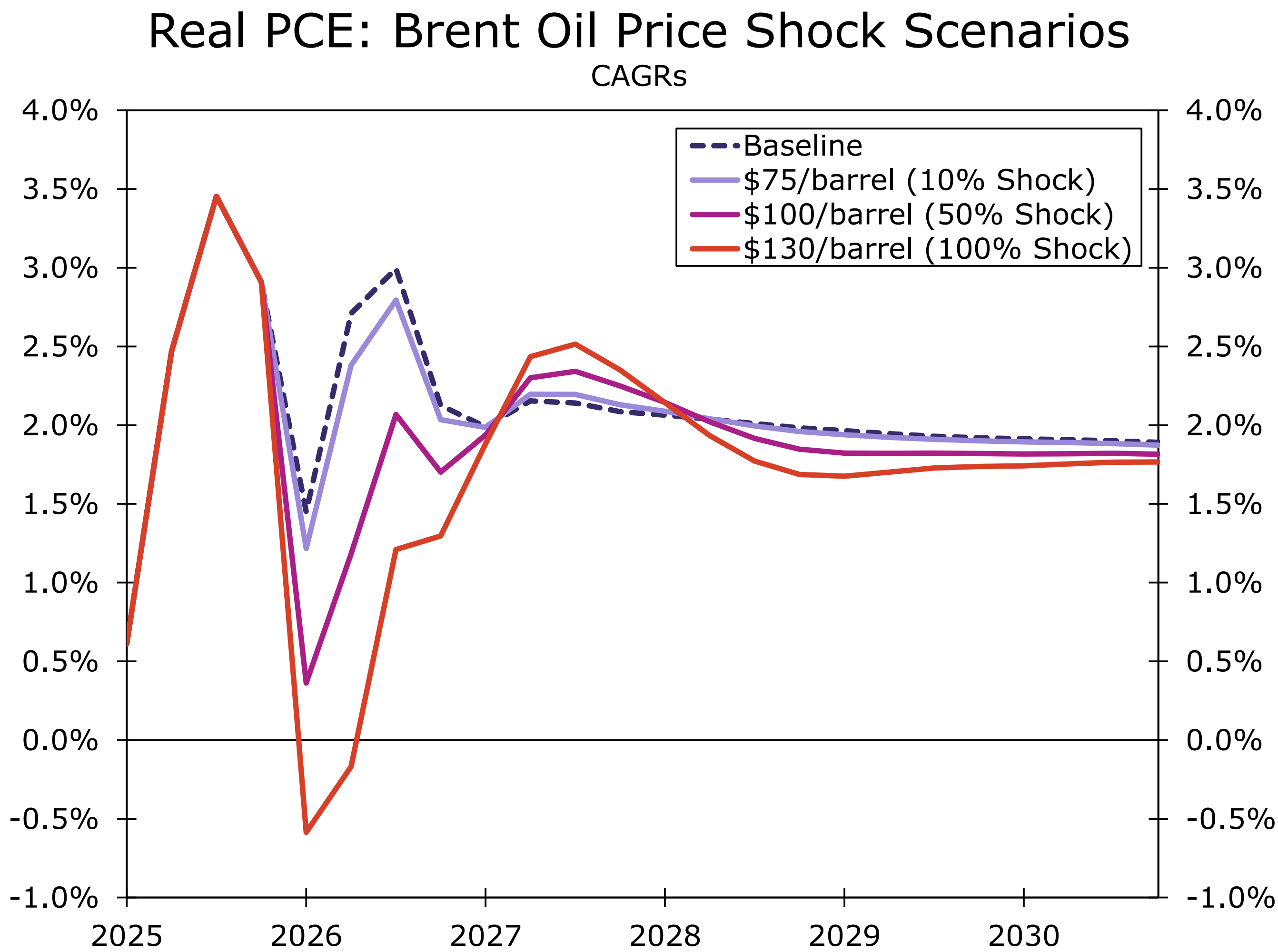
Even so, a larger oil price shock would need to be sustained to generate a contraction in aggregate consumer spending that is typically associated with recession. While real retail and wholesale sales are near stall speed, broader consumption has remained more resilient in recent months, supported by the growing dominance of services spending, demographic dynamics (e.g., more spending on healthcare), and income concentration among higher income households. In an additional modeling exercise, **sustained oil prices at $130/barrel, which is a ~100% increase from the pre-conflict baseline, would lead to back-to-back contractions in quarterly PCE in the middle part of this year.**

Figure 1



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2



Source: Oxford Economics and Wells Fargo Economics

Modeling the Investment Impact: A Partial Offsetting Boost

Higher oil prices tend to provide a boost to business fixed investment, primarily through increased energy-sector spending. Rising prices improve project economics, lift cash flow for producers and incentivize new drilling, infrastructure, and related capital outlays.

In the current cycle, this investment impulse is layered on top of a structural capex boom tied to the generative AI build-out, which has been relatively insensitive to energy costs and broader volatility. As a result, **moderate increases in oil prices tend to reallocate economic growth, rather than eliminate it**: **consumer spending slows, but investment accelerates, helping to stabilize aggregate demand.**

However, this offset is neither full, nor immediate. The hit to household purchasing power occurs quickly, while investment responds with a lag. More importantly, the investment response does not scale one-for-one with oil prices, meaning we would not expect the pick-up in energy-related investment spending to offset fully the loss in household purchasing power.

Bottom Line: Recession Risks Elevated

Oil shocks do not automatically produce recessions. They become recessionary when they persist, compress real incomes, and trigger spillovers that feed back into employment and financial conditions. The key takeaway for markets is the non-linearity of the risk: moderate oil price increases slow growth; sufficiently high and sustained prices can overwhelm the offsets and tip the economy into recession. The question is not whether oil matters—but how high, and for how long. As a net energy exporter, the U.S. economy can better weather higher oil prices than many countries. But, sustained prices north of $130/barrel would materially raise the risk of recession.

A Practical "Recession Checklist":

1. Oil stays elevated long enough to push up headline inflation and produce outright declines in real incomes.
2. Consumption rolls over in back-to-back quarterly declines, which our model suggests can occur around $130/barrel.
3. Financial conditions tighten in a way that hits investment spending and higher income consumption, turning the current bifurcated consumption pattern into a broader downshift.
4. Prices climb to a level where the boost to energy-related capex no longer offsets the broad hit to household spending.

When all four are checked—especially #2 plus #3—the probability of recession rises materially.

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All estimates/forecasts are as of 3/9/2026 unless otherwise stated. 3/9/2026 16:24:24 EDT.

Required Disclosures

Economics

March 6, 2026

February CPI Preview: Disinflation Progress Looks to Be Stalling Again

Special Commentary

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- The February CPI is likely to show that progress on lowering inflation is stalling out again. We estimate headline CPI rose 0.21% last month. That would be a few basis points stronger than January's 0.17% increase and would keep the year-over-year rate a tick above its cycle low of 2.3%.
- Although the conflict in the Middle East started over the weekend, oil and gasoline prices were already rising last month in anticipation of an escalation. We estimate gasoline prices rose 0.8% in February, with a slightly smaller increase (+0.6%) in energy services.
- We expect prices for food at home to fall 0.1% in February, providing some relief to consumers amid the strengthening in energy inflation. The January Producer Price Index for consumer foods posted its largest monthly decline since last March, and data from Truflation also show food inflation cooling rapidly. We look for the softer trend in grocery prices to continue in the coming months amid lower agricultural commodity prices and slowing wage costs at grocery stores. Weaker input cost growth should help limit food away from home inflation to a ~0.25% increase, which would be below the 0.33% monthly average increase registered in 2025.
- We expect core CPI to advance 0.19% in February, softer than January's 0.30% rise. Services should lead the moderation. We project primary shelter inflation to rise roughly in line with January's 0.23% increase, but softer price growth in travel-related services and medical care likely will weigh on core services inflation. Hotel occupancy and air traveler throughput tracked their seasonal norms in February, leaving room for payback after two months of outsized gains. Professional medical services and hospital services prices rose well above their recent trends in January and thus are ripe for some mean reversion.
- Core goods inflation likely strengthened in February. We look for the pickup to be driven primarily by a rise in used autos prices after a firming in wholesale auction prices around the end of last year. Excluding autos, we look for core goods prices to increase 0.17%, which would be weaker than in January but still slightly above the 2025 average as tariff costs continue to filter through to consumer prices. The staggered pass through of tariff-related costs and firming in transportation costs are expected to keep goods prices advancing faster than their pre-pandemic pace.
- The CPI has shown a noticeably more benign inflation environment than the PCE delator in recent months. Unusually, the year-over-year rate of core CPI is running 0.4 percentage points *below* the core PCE. Much of the divergence is coming from financial services, which carries a significantly larger weight in the core PCE (6% vs. 0.3%) and is largely imputed. Differences in scope and weighting of healthcare services and some core goods items are also leading to core PCE outpacing the core CPI inflation at present. We anticipate the gap to close in the coming months by core PCE slowing and core CPI edging up slightly, but for the combined message to be that inflation remains stuck closer to 3% than the Fed's 2% target.

February 2026 Forecast

	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	*Prior*	*Forecast*	*Prior*
Seasonally Adjusted	**Feb.**	**Jan.**	**Feb.**	**Jan.**
CPI (Consensus)	0.20	0.30	2.5	2.5
CPI (WF Estimate)	0.21	0.17	2.4	2.4
Food	0.06	0.19	2.8	2.9
Food at Home	-0.08	0.19	2.1	2.2
Food Away from Home	0.25	0.15	3.8	4.0
Energy	0.72	-1.47	0.5	-0.3
Energy Goods	0.80	-3.26	-5.5	-7.3
Energy Services	0.64	0.19	6.8	7.2
Core CPI (Consensus)	0.30	0.30	2.4	2.5
Core CPI (WF Estimate)	0.19	0.30	2.4	2.5
Goods	0.26	0.04	1.2	1.1
Vehicles	0.42	-0.57	-0.3	-0.5
Other Goods	0.17	0.35	2.1	2.1
Services	0.17	0.39	2.8	3.0
Primary Shelter	0.24	0.23	3.1	3.2
"Super Core"**	0.08	0.73	2.7	2.9
Not Seasonally Adjusted	**Index**	**MoM (%)**	**YoY (%)**	
CPI (Consensus)	—	—	—	
CPI (WF Estimate)	326.657	0.43	2.5	

Forecast as of: March 06, 2026; Bloomberg Consensus

**Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

Wells Fargo U.S. Inflation Forecast

	Actual				Forecast							
	2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
CPI (YoY)	2.7	2.5	2.9	2.7	2.6	3.1	2.8	2.8	2.5	2.1	2.1	2.1
QoQ Annualized	3.7	1.7	3.1	2.3	3.1	3.7	1.9	2.3	1.9	2.1	2.2	2.2
Core CPI (YoY)	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.5	2.4	2.2	2.2	2.21
QoQ Annualized	3.4	2.2	3.2	1.8	2.9	2.8	2.3	2.2	2.2	2.2	2.2	2.2
PCE Deflator (YoY)	2.6	2.4	2.7	2.8	2.8	3.0	2.8	2.6	2.31	2.10	2.14	2.13
QoQ Annualized	3.4	2.1	2.8	2.9	3.4	3.0	2.0	2.2	2.1	2.2	2.1	2.1
Core PCE Deflator (YoY)	2.8	2.7	2.9	2.9	2.9	2.8	2.7	2.6	2.3	2.3	2.3	2.2
QoQ Annualized	3.3	2.6	2.9	2.7	3.4	2.4	2.3	2.2	2.3	2.3	2.2	2.2

Forecast as of: March 6, 2026
Note: All numbers are percent change.

Source: U.S. Department of Labor and Wells Fargo Economics

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